

Wiping debt clean

Escaping the debt trap

Debt, most commonly in the form of credit cards, is like a bungee rope that tugs you backwards as you reach for your dream of owning a home. To save in earnest, it pays to get your debt as close to zero as possible.

As a first home buyer, you are likely to be on a more modest wage than you might hope to be in ten or 20 years' time. As a rough guide, Michelle Hutchison, spokesperson for finder.com.au, a financial advice website, says a rule of thumb is to triple the value of your debt, and that sum is how much less a bank will loan to you. For example, if you have \$14,000 in credit card debt, as I did, then a bank may reasonably wipe \$42,000 off the loan amount sought. For a first home buyer, this could be a tenth of what you want to borrow, and might rule you out of contention for the properties and suburbs you most desire.

According to finder.com.au, the average Australian currently has \$32,077 in debt excluding mortgages, including a personal loan of \$12,643, car loans totalling \$16,320 and a \$3114 balance on their credit card. So let's tackle this beast.

Reducing debt has three major benefits for a first home buyer:

- **Supercharged savings**

You can pump more earnings into your savings account. The faster you achieve a deposit, the more you will keep pace with the market if prices rise. (And, let's face it, you may as well rub a crystal ball when it comes to predicting market trends, so it is wise to assume the worst.)

- **No more mind games**

Debt sucks up your self-confidence and focus. To concentrate on saving hard and for a prolonged period, you need to be in the best possible headspace, so you can master mind over money.